QUICKMART PLC | UPDATED DCF AND INDEPENDENT VALIDATION CHECK

12 October 2026 | KES billions | Nominal KES | Revised 16% WACC / 4% terminal growth

Status: PROVISIONAL, NOT VALIDATED. Rerun performed from the previously supplied FY2027 management forecast and independently assumed 2028–2032 cash flows. The 16% WACC is a reasoned working assumption, not a verified market-derived result. Model values are end-2026, not precisely 12 October 2026.

Revised valuation results

Metric	Original 17% / 3%	Revised 16% / 4%
Post-IFRS enterprise value	36.92	41.88
Equity value	29.65	34.61
Equity/share (KES)	7.41	8.65
vs IPO KES 7.50	-1.2%	+15.4%

Enterprise-to-equity bridge | revised

Component	KES bn
PV FY2027–2032 FCFF	19.024
PV terminal value	22.858
Enterprise value	41.882
Less net debt including lease liabilities	(7.273)
Equity value	34.609
Equity/share	KES 8.65

Equity value per share sensitivity | WACC x terminal growth

WACC / g	2.5%	3.0%	4.0%	5.0%	5.5%
14.5%	9.24	9.53	10.21	11.03	11.51
15.0%	8.77	9.04	9.64	10.37	10.79
16.0%	7.94	8.16	8.65	9.23	9.56

WACC / g	2.5%	3.0%	4.0%	5.0%	5.5%
17.0%	7.23	7.41	7.82	8.29	8.55
18.0%	6.61	6.76	7.10	7.48	7.70

Independent accounting check and lease cross-check

Metric	Post IFRS 16	Pre-lease (proxy)
Enterprise value	41.88	26.38
Net debt deducted	7.27	-0.63
Equity/share	8.65	6.75
Difference in share values	—	-1.90

Correction to previous model: The IM reports total lease liabilities of approximately KES 7.9bn as of 30 June 2026 (IM p.150), versus the prior model's unverified KES 7.3bn allocation. Accordingly, net debt excluding leases is estimated at KES -0.627bn, rather than the old near-zero estimate. This changes the pre-lease cross-check, but does not change the post-IFRS 16 equity bridge, which already deducted KES 7.273bn total net debt.

Material unresolved issues: KES 2.05bn FY2027 cash rent is a placeholder; full lease schedule, additions, modifications, lease interest and actual cash rents are unavailable in this model. FY2027 working capital is assumed zero. Terminal reinvestment is not tied explicitly to sustainable ROIC. The cash-flow convention discounts full FY2027 at end-2026. Therefore, the cross-check does not reconcile and should not be described as validated.

Market calibration audit

Damodaran's July 2026 Kenya country risk inputs indicate 12.24% total equity risk premium and 8.04% country risk premium, with a 4.20% mature-market premium. These do not independently determine a KES WACC; adding total ERP to a sovereign bond yield without adjusting for sovereign default risk can double count country risk. The valuation still lacks a verified 10–15-year KES bond yield, relevered retail beta, debt and lease costs and market-value capital structure. Therefore 16% is retained solely as a sensitivity anchor.

Research decision: The rerun is a sensitivity result, not a reliable price target. WATCH / DEFER remains appropriate pending completion of a dated cost-of-capital build, reconciled lease schedules, a terminal ROIC/reinvestment check and the October 2026 valuation-date stub.

Sources: Quick Mart PLC IPO Information Memorandum (2 October 2026), pp. 136–137 (FY2027 forecasts), p.150 (lease liabilities), IPO summary (KES 7.273bn net debt); Damodaran July 2026 country risk premium update. 2028–2032 forecasts, rent and WACC assumptions are analyst estimates.